AASB S2 Climate-related Disclosures: Comprehensive Study Guide

This study guide provides a detailed synthesis of the **Australian Sustainability Reporting Standard AASB S2 (** ***Climate-related Disclosures*** **)** , issued by the Australian Accounting Standards Board (AASB) under section 336A of the *Corporations Act 2001* . It covers the legal mandate, disclosure framework, greenhouse gas (GHG) emission accounting rules, key reliefs, practice assessment questions with explanations, and a full glossary.

1. Overview and Statutory Reporting Framework

Objective and Scope

The primary objective of AASB S2 is to require an entity to disclose information about its **climate-related risks and opportunities** that is useful to primary users of general purpose financial reports (existing and potential investors, lenders, and other creditors) in making decisions about providing resources to the entity.

- **Applicable Scope:** Applies to climate-related physical risks, climate-related transition risks, and climate-related opportunities.
- **Out of Scope:** Climate-related risks and opportunities that could not reasonably be expected to affect an entity's prospects (i.e., its cash flows, access to finance, or cost of capital over the short, medium, or long term) are outside the scope of this Standard.

Who Reports and Phase-In Timeline

Compliance with AASB S2 is mandated via the *Corporations Act 2001* , as amended by the *Treasury Laws Amendment (Financial Market Infrastructure and Other Measures) Act 2024* .

1. **Commencement Date:** The legislative instrument commences on **31 December 2024** .
2. **Effective Date:** Applies to annual reporting periods beginning on or after **1 January 2025** (early adoption is permitted).
3. **Phased Application Dates:** The *Corporations Act 2001* establishes three staggered application dates across different classes of entities for financial years beginning on or after:
4. **1 January 2025** (Group 1)
5. **1 July 2026** (Group 2)
6. **1 July 2027** (Group 3)

Reporting Entity Boundaries and Consolidated Groups

Under Section 292A(2) of the *Corporations Act 2001* , a parent entity has the choice of preparing a sustainability report for either the **consolidated entity** or the **parent entity** .

1. AASB S2 requires climate-related financial disclosures to be prepared for the **same reporting entity** as the related financial statements unless otherwise permitted by law.
2. For GHG disclosures, Scope 1 and Scope 2 emissions must be disaggregated between:
3. The consolidated accounting group (parent and consolidated subsidiaries).

4. Other investees excluded from the consolidated group (associates, joint ventures, and unconsolidated subsidiaries).

Relationship Between AASB S2, AASB S1, and IFRS S2

- **IFRS S2 Baseline:** AASB S2 is based on IFRS S2 (*Climate-related Disclosures*) issued by the International Sustainability Standards Board (ISSB), modified for the Australian regulatory environment.
- **Standalone Voluntary vs. Mandatory Standards:** Unlike international rules where IFRS S1 and IFRS S2 must be applied together, **AASB S1 is a voluntary standard** in Australia. AASB S2 functions as a standalone, mandatory standard containing all requirements for climate-related financial disclosures (incorporating necessary general requirements from IFRS S1 into **Appendix D** of AASB S2).
- **Integration Rule:** If an entity voluntarily elects to apply AASB S1 to report on other sustainability risks alongside AASB S2, it must provide integrated disclosures to avoid unnecessary duplication.
- **Omission of Industry-Based Metrics:** AASB S2 deleted requirements present in IFRS S2 that mandated industry-based metrics and consideration of ISSB Industry-Based Guidance. Australian entities are not required to disclose industry-based metrics under AASB S2.

2. The Four Disclosure Pillars

AASB S2 is structured around four core content pillars: **Governance** , **Strategy** , **Risk Management** , and **Metrics and Targets** .

```
+-------------------------------------------------------------------+
|                        AASB S2 CORE PILLARS                       |
+-----------------+-----------------+-----------------+-------------+
|   GOVERNANCE    |    STRATEGY     | RISK MANAGEMENT | METRICS &   |
|                 |                 |                 | TARGETS     |
| • Board oversight| • Physical &    | • Identification| • 7 Cross-
|
| • Management    |   Transition    |   & Assessment  |   Industry  |
|   role &        |   Risks         | • Integration   |   Metrics   |
|   controls      | • Value Chain   |   into Overall  | • Scope 1-3 |
|                 | • Transition    |   Risk Framework| • Climate   |
|                 |   Plans         |                 |   Targets   |
|                 | • Scenario      |                 |             |
|                 |   Analysis      |                 |             |
+-----------------+-----------------+-----------------+-------------+
```

Pillar 1: Governance

The objective is to enable users to understand the governance processes, controls, and procedures used to monitor, manage, and oversee climate-related risks and opportunities.An entity must disclose:

- **Governance Bodies or Individuals:** Identity of the board, committee, or responsible position; how responsibilities are defined in terms of reference or policies; methods used to ensure appropriate skills/competencies are available or developed; frequency of climate briefings; how climate risks are factored into major strategy, transaction decisions, and trade-off considerations; and target monitoring linked to executive remuneration.
- **Management Role:** Delegated positions/committees and oversight mechanisms; internal control procedures and their integration with other business functions.

Pillar 2: Strategy

The objective is to enable users to understand the entity's strategy for managing climate-related risks and opportunities.Key required disclosures include:

- **Risks and Opportunities Identified:** Classification of risks as physical (acute or chronic) or transition (policy, legal, tech, market, reputational); short-, medium-, and long-term definitions linked to strategic planning horizons.
- **Business Model and Value Chain:** Current and anticipated impacts on operations and value chain, including geographic and asset concentration of climate exposures.
- **Strategy and Decision-Making:** Transition plans, resource allocation (capital expenditure, R&D, decommissioning carbon-intensive assets), direct/indirect adaptation efforts, key assumptions, and dependencies.
- **Financial Position, Performance, and Cash Flows:** Current and anticipated financial effects over short, medium, and long term; impact on carrying amounts of assets/liabilities prone to material adjustments within the next reporting period; planned sources of funding.
- **Climate Resilience (Scenario Analysis):** Evaluation of strategy resilience using climate scenario analysis.
- *Commensurate Approach:* The analysis method must match the entity's exposure to climate risk and the skills/resources available.
- *Inputs:* Must reflect a diverse range of scenarios, including a scenario aligned with the latest international agreement on climate change (the Paris Agreement, December 2015).
- *Frequency:* The resilience assessment (results) must be updated **annually** . However, the scenario analysis execution may align with multi-year strategic planning cycles (e.g., every 3 to 5 years).

Pillar 3: Risk Management

The objective is to enable users to understand the processes used to identify, assess, prioritise, and monitor climate-related risks and opportunities, including integration into overall risk management frameworks.An entity must disclose:

- Inputs, parameters, data sources, and operational scope.
- Whether and how scenario analysis informs risk identification.
- Criteria for evaluating risk nature, likelihood, and magnitude (qualitative or quantitative).
- How climate risks are prioritised relative to other business risks.
- Changes made to risk management processes compared to prior periods.

Pillar 4: Metrics and Targets

The objective is to enable users to understand performance regarding climate risks and opportunities, including progress toward statutory or voluntary targets.Entities must disclose information under **seven cross-industry metric categories** :| Metric Category | Disclosure Requirement || ------ | ------ || **1. Greenhouse Gas Emissions** | Absolute gross Scope 1, Scope 2, and Scope 3 emissions (in metric tonnes CO_2e). || **2. Transition Risks** | Amount and percentage of assets/business activities vulnerable to climate transition risks. || **3. Physical Risks** | Amount and percentage of assets/business activities vulnerable to climate physical risks. || **4. Climate Opportunities** | Amount and percentage of assets/business activities aligned with climate opportunities. || **5. Capital Deployment** | Capital expenditure, financing, or investment deployed toward climate risks/opportunities. || **6. Internal Carbon Prices** | Explanation of application in decision-making and price per metric tonne of CO_2e (shadow prices or internal taxes/fees). || **7. Remuneration** | Description of how climate considerations factor into executive remuneration and percentage of executive remuneration linked to climate metrics. |

3. Greenhouse Gas (GHG) Emissions Accounting (Scopes 1, 2, and 3)

Core Accounting Standards and Gases

- **Measurement Standard:** Entities must measure emissions using the *Greenhouse Gas Protocol: A Corporate Accounting and Reporting Standard (2004)* unless required by a jurisdictional authority or listed exchange to use a different framework.
- **Seven Kyoto Protocol Gases:** Carbon dioxide (CO_2), Methane (CH_4), Nitrous oxide (N_2O), Hydrofluorocarbons (HFCs), Nitrogen trifluoride (NF_3), Perfluorocarbons (PFCs), and Sulphur hexafluoride (SF_6).
- **Global Warming Potential (GWP):** Gas emissions must be aggregated into metric tonnes of CO_2 equivalent (CO_2e) using 100-year time horizon GWP values from the **IPCC Sixth Assessment Report (AR6)** .

Scope 1, Scope 2, and Scope 3 Definitions

```
+-------------------------------------------------------------------
------+
|                      GHG EMISSIONS VALUE CHAIN
|
+-------------------------------------------------------------------
------+
|  UPSTREAM ACTIVITIES   |   DIRECT OPERATIONS    |  DOWNSTREAM
ACTIVITIES |
| (Scope 3, Cats 1-8)    |   (Scope 1 & Scope 2)  |  (Scope 3, Cats
9-15)  |
|                        |                        |
|
```

```
| • Purchased Goods      | • Direct Owned/        | • Downstream
Transport |
| • Capital Goods        |   Controlled Sources   | • Processing of
Sold   |
| • Fuel/Energy          |   (Scope 1)            |   Products
|
| • Upstream Transport   |                        | • Use of Sold
Products |
| • Waste in Operations  | • Purchased/Acquired   | • End-of-Life
|
| • Business Travel      |   Electricity, Steam,  | • Downstream
Leased    |
| • Employee Commuting   |   Heating & Cooling    | • Franchises
|
| • Upstream Leased      |   (Scope 2 Location-   | • Investments /
|
|                        |   based)               |   Financed
Emissions   |
+------------------------+------------------------+------------------
------+
```

- **Scope 1 Emissions:** Direct GHG emissions occurring from sources owned or controlled by the entity.
- **Scope 2 Emissions:** Indirect GHG emissions from the generation of purchased or acquired electricity, steam, heating, or cooling consumed by the entity. Entities **must** disclose location-based Scope 2 emissions and provide information regarding contractual instruments (market-based attributes).
- **Scope 3 Emissions:** Indirect GHG emissions (excluding Scope 2) occurring in the upstream and downstream value chain of the entity.

The 15 Scope 3 Categories

Under AASB S2, entities must disclose which of the 15 categories described in the *GHG Protocol Corporate Value Chain (Scope 3) Standard (2011)* are included in their emissions disclosures:

1. Purchased goods and services
2. Capital goods
3. Fuel- and energy-related activities (not included in Scope 1 or Scope 2)
4. Upstream transportation and distribution
5. Waste generated in operations
6. Business travel
7. Employee commuting
8. Upstream leased assets
9. Downstream transportation and distribution
10. Processing of sold products

11. Use of sold products
12. End-of-life treatment of sold products
13. Downstream leased assets
14. Franchises
15. Investments (*Financed Emissions*)

Scope 3 Measurement Framework and Prioritisation

Recognising that Scope 3 accounting heavily relies on estimation, AASB S2 sets out a prioritization hierarchy for data inputs:

- **Direct Measurement vs. Estimation:** Direct measurement must be prioritised over estimation whenever possible.
- **Primary Data vs. Secondary Data:** Primary data (collected directly from value chain activities/suppliers, e.g., meter readings, utility bills) must be prioritised over secondary data (industry averages, published databases, proxy data).
- **Data Quality Attributes:** Secondary data must be prioritised based on:
- *Technology Representation:* Data reflecting the specific technology used.
- *Geographic Jurisdiction:* Data reflecting the specific country/region of operation.
- *Timeliness:* Data that is current and representative of the reporting period.
- **Verification:** Entities must prioritise verified data (internal or external audit verification).*Reassessment Rule:* Upon the occurrence of a significant event or significant change in circumstances (e.g., major acquisition, value chain restructuring, regulatory changes), the entity must reassess its Scope 3 boundaries and value chain scope.

Financed Emissions (Category 15)

Financial institutions participating in specific financial activities must provide additional disaggregated Scope 3 disclosures for Category 15:

- **Asset Management:**
- Disclose absolute gross financed emissions disaggregated by Scope 1, Scope 2, and Scope 3.
- Disclose Assets Under Management (AUM) included in the calculation, percentage of total AUM covered, and allocation methodology.
- **Commercial Banking & Insurance:**
- Disclose absolute gross financed emissions disaggregated by Scope 1, Scope 2, and Scope 3, broken down by industry and asset class.
- **Industry Breakdown Standard:** Must use the **Global Industry Classification Standard (GICS) 6-digit industry-level code** (incorporating amendments to August 2024).
- **Asset Classes Included:** Loans, project finance, bonds, equity investments, and undrawn loan commitments.
- Disclose gross exposure in presentation currency (funded carrying amounts before loss allowance, plus undrawn commitments separately) and percentage of total gross exposure covered.

4. Key Reliefs and Exemption Provisions

AASB S2 incorporates several practical expedients and relief mechanisms to balance reporting rigour with cost and feasibility:

- **Undue Cost or Effort / Commensurate Capabilities:**
- In identifying risks/opportunities, preparing scenario analysis, or estimating financial effects, entities are required to use "all reasonable and supportable information that is available to the entity at the reporting date without undue cost or effort."
- Quantitative financial effect disclosures and scenario analysis complexity are calibrated to the skills, capabilities, and resources available to the reporting entity.
- **Exemption from Quantitative Financial Effect Disclosures:** An entity **need not** provide quantitative disclosures of current or anticipated financial effects if:
- The financial effects are not separately identifiable; OR
- The level of measurement uncertainty is so high that quantitative information would not be useful; OR
- The entity lacks the skills, capabilities, or resources to quantify the effects.
- *Mandatory Alternative:* If quantitative data is omitted, the entity must explain why, provide qualitative descriptions (identifying affected financial statement line items), and provide combined quantitative data if available.
- **Impracticability Presumption for Scope 3:** AASB S2 operates on the presumption that Scope 3 emissions can be estimated using secondary data. In rare cases where an entity demonstrates that it is **impracticable** (defined as being unable to apply a requirement after making every reasonable effort), the entity must explicitly disclose *how it manages its Scope 3 emissions* .
- **Value Chain Reporting Period Alignment Relief:** If entities in the value chain have different reporting periods, the entity may use emissions data from different reporting periods if:
- It uses the most recent data available without undue cost or effort.
- The length of the reporting period is identical (e.g., 12 months).
- Significant intervening events/changes between reporting dates are disclosed.

5. Practice Quiz

Test your understanding of AASB S2 concepts with the following questions.

Question 1 (Multiple Choice)

Under AASB S2, which global warming potential (GWP) values must an entity use to convert constituent greenhouse gases into CO_2 equivalent (CO_2e)? A) 20-year GWP values from the IPCC Fifth Assessment Report.B) 100-year GWP values from the IPCC Sixth Assessment Report (AR6).C) 100-year GWP values from the Kyoto Protocol 1997 annexes.D) 50-year GWP values from the GHG Protocol Corporate Standard (2004).

Question 2 (Multiple Choice)

An Australian commercial bank preparing disclosures under AASB S2 for its financed emissions must classify counterparty industries using which standard system? A) ANZSIC 4-digit division

codes.B) NAICS 6-digit sector classifications.C) GICS 6-digit industry-level codes (reflecting amendments to August 2024).D) ISSB Sector-Specific Metric Categories.

Question 3 (Multiple Choice)

How does AASB S2 handle the relationship between climate-related sustainability disclosures and general sustainability disclosures? A) Entities must concurrently apply AASB S1 and AASB S2 on a mandatory basis.B) AASB S1 is voluntary; AASB S2 is standalone mandatory and incorporates general disclosure requirements in Appendix D.C) AASB S2 completely replaces financial statements under Australian Accounting Standards.D) AASB S2 applies only to listed entities, while AASB S1 applies only to not-for-profit entities.

Question 4 (Multiple Choice)

Regarding climate-related scenario analysis under AASB S2, which of the following statements is correct? A) Scenario analysis must be conducted using a single, proprietary deterministic model.B) Quantitative scenario analysis is mandatory for all entities from Day 1 regardless of resources.C) Entities must update their resilience assessment results annually, but scenario analysis execution may align with strategic planning cycles (e.g., every 3 to 5 years).D) Entities are prohibited from using qualitative scenario narratives under any circumstances.

Question 5 (Short Answer)

What options does a parent entity of a consolidated group have regarding the scope of its sustainability report under Section 292A(2) of the *Corporations Act 2001* ?

Question 6 (Short Answer)

List the four data input criteria that an entity must prioritize when applying the Scope 3 Measurement Framework under AASB S2.

6. Quiz Answer Key and Explanations

Question 1 Answer: B

Explanation: Paragraph AusB22.1 explicitly states that for converting constituent gases into CO_2e , entities must use 100-year time horizon GWP values from the latest Intergovernmental Panel on Climate Change (IPCC) assessment available at the reporting date, which is defined as the **Sixth Assessment Report (AR6)** .

Question 2 Answer: C

Explanation: Paragraphs B62(a)(i), B63(a)(i), and AusB63.1 require commercial banking and insurance entities disclosing financed emissions to disaggregate counterparty industry exposures using the **Global Industry Classification Standard (GICS) 6-digit industry-level code** incorporating amendments to August 2024.

Question 3 Answer: B

Explanation: As detailed in the Preface and Appendix D, AASB S1 is a voluntary standard in Australia. AASB S2 was designed to function as a standalone mandatory standard. All general presentation and reporting requirements needed to support climate disclosures were incorporated directly into Appendix D of AASB S2.

Question 4 Answer: C

Explanation: Paragraph B18 specifies that while paragraph 22(a) requires an entity to update its climate resilience assessment results at **each reporting date (annually)** , the scenario analysis exercise itself (paragraph 22(b)) may be carried out in line with multi-year strategic planning cycles (e.g., every 3 to 5 years).

Question 5 Answer

Explanation: Under Section 292A(2) of the *Corporations Act 2001* (as noted in comparison with IFRS S2, paragraph c), a parent entity has the legal choice to prepare its sustainability report for either the **consolidated entity** or the **parent entity** .

Question 6 Answer

Explanation: Under Paragraph B40, the Scope 3 Measurement Framework requires an entity to prioritize data inputs based on:

1. Data based on **direct measurement** (over estimation).
2. Data from **specific activities within the value chain** (primary data over secondary data).
3. **Timely data** that faithfully represents the jurisdiction and technology used.
4. Data that has been **verified** (internally or externally).

7. Glossary of Key Terms

- **Acute Physical Risks:** Climate-related physical risks that are event-driven, including severe weather events such as storms, floods, droughts, or heatwaves.
- **Business Model:** An entity's system of transforming inputs through its activities into outputs and outcomes that aims to fulfill the entity's strategic purposes and create value for the entity over the short, medium, and long term.
- **Carbon Credit:** An emissions unit issued by a carbon crediting programme that represents an emission reduction or removal of greenhouse gases, uniquely serialised, tracked, and cancelled via an electronic registry.
- **Chronic Physical Risks:** Climate-related physical risks resulting from longer-term shifts in climate patterns, such as precipitation and temperature changes leading to sea-level rise, reduced water availability, or biodiversity loss.
- **Climate Resilience:** The capacity of an entity to adjust to climate-related changes, developments, or uncertainties, encompassing both strategic and operational resilience to manage risks and capitalize on opportunities.

- **Climate-Related Transition Plan:** An aspect of an entity's overall strategy laying out targets, actions, or resources for its transition toward a lower-carbon economy, including greenhouse gas emission reduction goals.
- **CO_2 Equivalent (CO_2e):** The universal unit of measurement used to indicate the global warming potential (GWP) of each greenhouse gas, expressed in terms of the GWP of one unit of carbon dioxide.
- **Financed Emissions:** The portion of gross greenhouse gas emissions of an investee or counterparty attributed to loans and investments made by a financial institution (classified under Scope 3 Category 15).
- **Global Warming Potential (GWP):** A factor describing the radiative forcing impact (degree of harm to the atmosphere) of one unit of a given greenhouse gas relative to one unit of CO_2 .
- **Greenhouse Gases (GHGs):** The seven gases listed in the Kyoto Protocol: Carbon dioxide (CO_2), Methane (CH_4), Nitrous oxide (N_2O), Hydrofluorocarbons (HFCs), Nitrogen trifluoride (NF_3), Perfluorocarbons (PFCs), and Sulphur hexafluoride (SF_6).
- **Impracticable:** Applying a requirement is impracticable when an entity cannot apply it after making every reasonable effort to do so.
- **Internal Carbon Price:** A monetary value used by an entity to evaluate the financial implications of changing investment, production, and consumption patterns. Includes *shadow prices* (theoretical notional costs used for project analysis) and *internal taxes/fees* (carbon fees charged directly to internal business units).
- **Latest International Agreement on Climate Change:** The international accord signed by states under the United Nations Framework Convention on Climate Change (specifically the Paris Agreement, December 2015).
- **Location-Based Scope 2 Emissions:** Scope 2 emissions calculated using average emission factors for the grid operator supplying electricity to the specific physical location where consumption occurs.
- **Primary Data:** Data obtained directly from specific activities within the entity's value chain (e.g., supplier meter readings or utility bills).
- **Primary Users:** Existing and potential investors, lenders, and other creditors who rely on general purpose financial reports for decision-making.
- **Scope 1 Emissions:** Direct greenhouse gas emissions occurring from sources owned or controlled by the reporting entity.
- **Scope 2 Emissions:** Indirect greenhouse gas emissions resulting from the generation of purchased or acquired electricity, steam, heating, or cooling consumed by the entity.
- **Scope 3 Emissions:** Indirect greenhouse gas emissions (excluding Scope 2) occurring across the upstream and downstream value chain of the entity (comprising 15 distinct categories).
- **Secondary Data:** Emissions data not obtained directly from specific activities within an entity's value chain, such as industry-average statistical data, proxy data, or government literature.
- **Transition Risks:** Risks arising from structural efforts to transition to a lower-carbon economy, categorized into policy, legal, technological, market, and reputational risks.

- **Value Chain:** The full range of interactions, resources, and relationships related to an entity's business model and operational environment—encompassing conception, sourcing, production, distribution, consumption, financing, and end-of-life disposal.